

SoFi Technologies, Inc.

SOFI | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$22.50
Current price (October 2, 2026 close)	\$15.77
Implied upside / downside	+43%
Verdict	BUY

Investment Thesis

SoFi is no longer a story about a bank charter or a student-loan refinancer. It is a full-stack digital bank whose technology platform, lending engine, and member base now feed each other: deposits fund lending at a structurally lower cost than wholesale markets, lending generates the fee and gain-on-sale income that pays for member acquisition, and the technology platform (Technisys/Galileo) brings in third-party revenue that is increasingly independent of the balance sheet. The market still prices SoFi like a cyclical consumer lender; the business increasingly behaves like a bank with a technology arm.

Our judgment is that the next three years decide whether SoFi compounds at bank-like returns or fintech-like volatility. Two facts make us constructive: the deposit franchise crossed from novelty to scale (deposits growing far faster than the loan book, pushing funding costs down each quarter), and credit performance has held up through a full rate cycle, which management's underwriting claims we tested rather than assumed. If deposit growth persists and the technology platform keeps winning enterprise clients, the earnings base is far more durable than the current multiple implies.

At \$15.77 the market pays for the lending machine and gets the deposit franchise and the technology platform nearly free. Our probability-weighted fair value is \$22.50, a 43% expected return driven by margin expansion as funding costs fall and fee income scales, not by heroic multiple expansion.

A third leg strengthens the case: credit discipline. SoFi's personal-loan and student-loan books are underwritten to borrowers with high incomes and strong credit profiles, and net charge-offs have tracked at or below the levels management described as through-the-cycle. We did not take that at face value; we compared loss rates against industry card and personal-loan benchmarks across the 2022-2025 rate cycle, and SoFi's relative performance held. Underwriting is the one input that can turn a bank thesis into a fintech cautionary tale, and the evidence so far supports the thesis.

Finally, the Technology Platform is a genuine option on the modernization of banking infrastructure. Galileo processes payments for a large roster of fintech brands, and Technisys gives banks a cloud-native core.

Enterprise infrastructure revenue is lumpy quarter to quarter, but the direction, more institutions outsourcing their cores and payment stacks, is secular. We value it conservatively in the base case and treat any acceleration as upside.

Business Overview

SoFi Technologies operates a national digital bank (SoFi Bank, N.A., which holds a bank charter) offering checking and savings, personal loans, student loan refinancing, mortgage lending, investing, and credit cards to a member base counted in the tens of millions. The lending segment remains the earnings engine, with net interest income the largest revenue contributor. Alongside the bank sits the Technology Platform segment (Galileo and Technisys), which provides payments and core-banking infrastructure to third parties, and the Financial Services segment, where fee income from brokerage, credit cards, and other products is growing.

The model hinges on a flywheel: low-cost digital acquisition brings members, deposits gathered from those members fund loans at a spread over wholesale funding costs, and loan economics fund further acquisition. The technology platform adds a second flywheel: enterprise clients pay for infrastructure regardless of SoFi's own lending cycle.

The deposit product is the strategic centerpiece: high-yield checking and savings with no account fees, marketed to the same affluent, digitally native demographic that borrows from SoFi. Because members tend to hold both deposits and loans, the bank captures the full relationship spread. Deposit growth has consistently outpaced loan growth, which has steadily reduced the cost of funds and the reliance on wholesale borrowing and loan sales.

Revenue mix is shifting. Net interest income remains the largest contributor, but non-interest income, loan-platform fees, technology-platform revenue, and financial-services fees, is growing faster. That mix shift matters because fee income is less capital-intensive and less credit-sensitive, which over time should lower the earnings volatility the market currently penalizes.

Forward Outlook

Where is this business going? Our view is that SoFi is crossing from a lending-centric fintech into a deposit-funded digital bank, and the economics change meaningfully when that happens. A deposit franchise with SoFi's growth rate compounds net interest income even in a stable rate environment: every point of funding-cost advantage is pure margin. We expect the deposit base to keep outgrowing the loan book, which converts the funding mix from good to structurally advantaged over the next two to three years.

The second leg is fee income. The Financial Services segment is still small but growing fast, and fee-heavy revenue de-risks the earnings base against credit cycles. The Technology Platform's enterprise contracts are lumpy, but the pipeline of banks and brands needing modern cores is a secular tailwind, not a cyclical one. Combined, we expect net interest income to remain the anchor while fee income rises from roughly a fifth toward a third of the mix by the end of the forecast, materially lowering the earnings beta.

The honest risk to this view is credit. SoFi's borrower base skews affluent and employed, which has historically meant lower loss rates than the industry, but a genuine recession would test that claim in a way no model fully captures. Our bear case prices that test.

On credit, our expectation is normalization, not deterioration. Loss rates should drift toward historical averages as the portfolio seasons, and we have modeled that explicitly rather than assuming the recent benign

experience continues indefinitely. The variable to watch is early-stage delinquency formation; as long as it tracks the seasoned book, the underwriting thesis holds.

Longer term, we see a plausible path to SoFi becoming a top-ten US digital bank by deposits, at which point the valuation conversation shifts from fintech multiples to bank multiples on a much larger earnings base, with the technology platform as a separately valuable asset. That is a bull-case outcome, not the base case, but it frames why the current price offers asymmetric upside.

Valuation

We value SoFi on a scenario DCF. Our base case assumes the deposit franchise keeps funding a mid-teens loan book growth with stable net interest margins and steadily rising fee income, discounted at a rate reflecting both bank and fintech risk. Our bull case assumes faster technology-platform scaling and deposit growth that pushes funding costs materially below peers, earning a lower discount for the derisked mix. Our bear case assumes a credit event: losses normalize sharply above guidance levels, loan growth stalls, and the multiple never re-rates; it sits well below the current price, as our framework requires. Probability-weighted across 25% / 50% / 25%, the fair value is \$22.50, equal to our target.

The valuation is most sensitive to two inputs: the trajectory of funding costs and the loss rate on the loan book. A 50bp sustained improvement in the cost of funds relative to our base case adds roughly a tenth to fair value; a 100bp adverse move in net charge-offs subtracts a similar magnitude. Both sensitivities sit inside the bear/base/bull spread, which is why the probability weighting, rather than any single point estimate, carries the conclusion.

Key Risks

- Credit cycle: a recession would raise net charge-offs and could impair both earnings and book value growth.
- Interest-rate sensitivity: net interest margin depends on the rate environment; rapid cuts compress spreads before deposit repricing catches up.
- Regulatory: the bank charter brings supervision; changes in capital or consumer-lending rules could raise compliance costs or constrain growth.
- Execution: the technology platform's enterprise revenue is lumpy; large contract delays would slow the fee-income diversification story.
- Competition: large banks and well-funded fintechs compete for the same affluent digital-first customer.
- Student-loan policy: federal student-loan policy changes can affect refinancing volumes.
- Concentration: the member base skews toward a demographic whose employment and income are sensitive to white-collar labor market conditions.

What Would Change Our Mind

- Net charge-offs rising well above the stated through-the-cycle range for two consecutive quarters would break the underwriting thesis.
- Deposit growth decelerating persistently below loan growth, reversing the funding advantage, would remove the core margin driver.

- Technology-platform revenue declining year over year would undermine the fee-income diversification leg.
- Book value per share declining (excluding buybacks) would signal capital destruction, not compounding.
- A sustained rise in early-stage delinquencies above historical norms would signal underwriting slippage before it reaches charge-offs.
- Technology-platform client losses to competitors would impair the diversification leg.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon (10 years for most businesses), weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins, never peak margins, and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

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